

1. **Describe the main advantages of the new digital financial system at HCS.**

- Provide specific examples from the report, such as improvements in approval times, cost savings, and audit trails.

The new system gives clear,measurable improvements in 3 main areas:

- **Approval time** :Before , travel and per diem requests needed 5 -10 signature and could sit for days waiting for signatories. After digitization, the approval process was reduced to mainly the immediate supervisor, and the average approval time dropped to just 2.3 hours.

- **Cost saving** : HCS HQ spent about ETB 2.4 million on Paper and printing in 2024 alone. A big part of this came from duplicate paperwork - one sample procurement request alone collect 101 signatures across 50 printed documents. Digitizing forms removes this duplication and the ongoing stationery cost that came with it .

-**Audit trails** : Every digital request now carries a unique sequential ID ,a time-stamp for every action ,and records who approved or rejected it and why . this gives a much stronger , tamper-proof trail than paper files, which could be lost , altered ,or delayed between offices .

As proof of scale , by sep 2025 the system had processed 776 travel/per diem requests with ETB 4.6 million for 323 unique staff members, all trackable in real time through Power BI dashboards.

2. **What were the primary challenges faced during the implementation of the digital system?**

- Discuss issues related to staff access, outdated equipment, and continued reliance on paper.

- **Staff acces** : Only 83 of the 323 people who used the system had their own official HCS Microsoft 365 account . Many staff relied on personal emails or asked a colleague to submit on their behalf, which limited how many people could truly use the system independently .

- **Outdated equipment** : Several offices still used very old computers, including machines running windows 7 , an OS that is unsupported and incompatible with newer Microsoft Tools (including The ERP platform HCS plans to adopt later). poor internet connectivity inn field office and even at HQ also slowed adoption.

- **continue reliance on paper** : during the transaction, staff complited both paper and digital version of forms to build confidence, which created duplicate and delays rather than saving time . Some staff also continued printing digital approvals to attach to paper payment vouchers because they where not yet fully confident that a digital record alone was enough proof for audit purpose .

3. Analyze the impact of the new system on staff workload and accountability.

- How did the system affect the distribution of work and the ability of staff to submit their own requests?

The system changed both how work was distributed and who was accountable for it, though not without some early bumps:

- **Workload redistribution** : in the early weeks ,Over 54% of all requests were being created by a single staff member on behalf of colleagues, which meant the process was quickly being re-centralized instead of spread out . Once HCS leadership stepped in and enforced individual responsibility , that the number dropped to about 7%, limited mainly to drivers who genuinely lack an HCS email account.

- **Accountability improvement** : The system introduced a rule that no payment would be distributed unless the requester had completed their own digital forms, which pushed staff to take ownership of their own submissions rather than offloading the task onto someone else .

- **Reduced burden on leadership** : Previously, senior leaders spent an estimated 70-80 % of their time signing routine, low value documents . by narrowing the approval chain to the people who actually need to review a request(mainly the immediate supervisor),leadership time was freed up for more strategic work.

- **Role transformation** : The report recommends reassigning staff whose roles existed mainly because of paper-based bottlenecks (such as per diem clerks and pre-check accounts)toward higher-value tasks like donor reporting and compliance monitoring, rather than making these roles redundant.

4. Evaluate the effectiveness of the training provided to staff.

- What evidence does the report provide about digital skill-building, and what gaps remain?

- **Evidence of success** : Training expanded from about 20 staff during the first field mission (including the Vicar General and senior leadership) to nearly 40 staff by mid-August 2025,covering Finance,HR,Programs,IT, and woreda level Coordinators. The consultancy used the ADKAR change model (Awareness,Desire,Knowledge,Ability,Reinforcement)to structure this ,and appointed champions (eg shame Abdurahman in RFSA and Melat semeneh in JEOP) who continued mentoring colleagues after the formal session ended .

- **Remaining gaps** : Despite training , some staff still lacked official accounts or struggled with basic password management , requiring reported IT resets. Digital literacy varied a lot between HQ and field/woreda staff . and even trained staff sometimes reverted to old habits, such as

printing approvals, showing that training alone does not fully build trust in a new system -- ongoing reinforcement and leadership message are still needed .

5. Discuss the limitations of using SharePoint and Power Automate as a financial management solution.

- Why these tools are not considered a full replacement for an ERP or accounting system?

Sharepoint and power Automate proved effective as a bridge solution, but the report is clear that they are not a substitute for a full ERP or accounting system , for a few reasons:

- **No real accounting engine** : The report explicitly states that the transaction recording workflow “is NOT meant to replace Peachtree.” Staff must still separately enter accounting data into peachtree for actual bookkeeping; the digital workflow only gives visibility of the request-to-payment cycle.

- **Limited integration across departments** : Finance,HR,and procurement still do not share data automatically. For example, Payrol still depends on manually updated Excel Online sheets rather than a live, integrated HR-Finance database.

- **Partial digitization of payment Vouchers** : Due to audit Concern, PVs continue to be prepared on paper , with only PV numbers, cheque references, and payment status entered into the system a computer rather than full digitixation .

- **No built-in complex reporting** : Donor-specific reporting requirments and Cost allocation logic are not automated ;they still rely on manual process and future policy decisions from ECS .

6. Summarize the key recommendations made in the report to improve the digital system.

- Which recommendations address technical issues, and which focus on policy or process changes?

The recommendations fall into two clear categories :

- **Technical/operational(with HCS's control)** : Expand official Microsoft 365 accounts to all relevant staff; upgrade outdated hardware and improve internet connectivity; phase out paper forms for staff who already have digital access; embed the finalized SOPs(with revision history) as everyday practice ; keep the champion network and refresher trainings active ; use dashboards for monthly performance reviews; and establish a proper IT unit (a System Specialist and a support & Training officer) instead of relying on a single IT administrator.

- **Policy-level (requiring ECS approval)** : Reform the approval framework to reduce redundant signatures and introduce risk-based thresholds; adopt partial advanced disbursement (paying out 80-90% upfront to encourage faster settlement); create standardized cost allocation methodology across project; and reorient the internal audit function from a single pre-checker into a proper risk & compliance Team focused on Post-transaction reviews)

7. What steps does the report suggest for standardizing processes and templates across HCS?

- Why is standardization important for the success of the digital system?

- **One common field trip report template** : Instead of different formats per donor /project, the report calls for single standardized template so the digital form works consistently for everyone.

- **One clear per diem calculation method** : A single, agreed method for calculating per diem across job grades and duty stations, so the system can eventually auto-calculate amount instead of leaving fields open for manual entry.

- **Why standardization matters** : without it, the digital form cannot be fully automated (finance field have to stay as manual entry, as seen during the pilot), consistency across departments and donors suffers, and it becomes harder to compare or audit data across projects. Standardization is really what unlocks the next level of automation and reliability for the whole system.

8. Explain the role of external approval (e.g., from ECS) in the reform process.

- How do these dependencies affect the pace and scope of digital transformation at HCS?

Several of the most impactful reforms identified by the project cannot be decided by HCS or the consultancy alone, because they touch policies set by the Ethiopia Catholic Secretariat (ECS), HCS's governing body :

- **What need ECS approval** : Reducing the number of required signatures, introducing risk-based approval thresholds, changing the dual-signature requirement for cheques, adopting partial advance disbursement, setting a standardized cost allocation methodology, and restructuring the internal and audit function.

- **Impact on pace and scope** : Because these reforms need higher-level review, they could not be enforced during this project. They were instead escalated and formally presented to ECS leadership at the Leadership Reflection Retreat. This means HCS has already achieved real operational gains (through digitization) within its own authority, but the biggest structural bottleneck - the approval culture itself - can only be fully resolved once ECS acts. Until then, some efficiency gains are capped by policy, not by technology.

9. Based on the report, what are the next steps HCS should take to maximize the benefits of its digital system?

- Consider both immediate actions and long-term planning for a full ERP system.

Immediate action

- Roll out official Microsoft 365 accounts more widely so fewer staff need to delegate their submissions.
- Upgrade outdated computer and improve internet connectivity ,starting with finance and other high volume user
- Refinforce the message that digital record are sufficient for audit purposes , to stop the habit of printing for “proof”.
- Keep champion-led referresher training running on a regular basis.
- Standardize field trip report templates and per diem calculation rule .

Long-term planning

- Continue to advocate for the ECS-level policy reforms(approval framework, partial advances,cost allocation,internalaudit restructuring),since these unlock the larges remaining efficiency gains.
- Treat the current Sharepoint/Power Automate system as a bridge ,and begin planning and budget for a ful ERP system, Which would connect finance ,HR,and Procurement in one place .
- Establish a dedicated IT unit so the system is not dependent on a single adminstrator , ensuring long-term technical sustainability.

10. Reflect on the overall impact of the digital system on HCS’s operations.

- What evidence does the report provide that the system has improved transparency, efficiency, and cost-effectiveness?

The report provides solid evidence that the digital system has meaningfully improved HCS;s financial operations :

- Transparency : For the first time, leadership can view staff travel and related expenditure in reak time by project,depatment ,budget line or individual,through power BI dashboards - something that was simply impossible when everything lived in paper files.
- Efficiency : Average aproval time fell to 2.3 hours from a process that previously took days; other redesigned workflows (like liquidation and financial recording) now run in the range of 5 to 30 minutes instead of requirung days of physical handoffs.

- Cost effectiveness : The system has already reduced reliance on the paper and printing process that cost HCS an estimated ETB 2.4 million in 2024 , while giving leadership hard data (776 requests,ETB 4.6 million tracked) to justify further investment .

At the same time, the report is honest that this is not a finished transformation - it is a strong first step. The remaining gaps(staff access, HW,standardization,and ECS-level policy reform) are well documented, which suggests the project succeeded not just in building a new system , but in giving HCS a clear, evidence-based roadmap for what to fix next .